

Employee Offboarding Procedure

Contoso MSP - Standard Operating Procedure | v2.3 | Updated January 2026

1. Overview

This procedure covers the complete IT offboarding process when an employee departs the organization. It ensures all access is revoked, data is preserved for compliance, and company assets are recovered. This procedure applies to all managed clients using Microsoft 365 Business Premium or E3/E5 licensing.

Scope and Applicability

Field	Value
Applies To	All managed client organizations
Trigger	HR notifies IT of employee departure
Risk Level	High - involves credential and data security
Estimated Duration	15-25 minutes per employee
Requires M365 Admin	Yes - Global Admin or User Admin role
Requires Endpoint Access	Yes - for local profile and cached credential cleanup

2. Prerequisites

1. Confirmation from HR or client management that the employee is departing (email or ticket required)
2. Employee's full name, email address, and UPN (User Principal Name)
3. Knowledge of which shared mailboxes, distribution lists, and Teams the user belongs to
4. Manager's name and email for mailbox delegation and forwarding
5. Confirmation of last working day and whether access should be revoked immediately or on a specific date

3. Warnings and Considerations

WARNING: Do NOT delete the user account. Convert to shared mailbox first to preserve email data for compliance.

WARNING: Do NOT remove licenses before converting the mailbox - conversion requires an active license.

- Litigation hold must be verified before any mailbox changes if the departing employee is involved in legal matters.

- OneDrive data will be automatically deleted after 30 days of account deletion. Transfer ownership to manager first.
- If the user has MFA hardware tokens (YubiKey), these must be physically collected and deregistered.

4. Phase 1: Immediate Access Revocation (M365)

These steps must be completed within 1 hour of receiving the offboarding request.

Step 1: Disable Sign-In

Navigate to Microsoft 365 Admin Center > Active Users. Search for the departing employee. Click on their account and select 'Block sign-in'. This prevents all new authentication immediately. Alternatively, use Graph API: PATCH /users/{userId} with accountEnabled set to false.

Step 2: Revoke All Active Sessions

In the user's admin page, click 'Sign out of all sessions' to invalidate all existing tokens. This forces immediate disconnect from all Microsoft services including Teams, Outlook, and SharePoint. Graph API: POST /users/{userId}/revokeSignInSessions.

Step 3: Reset Password

Reset the user's password to a randomly generated 24-character string. Do not share this password. This ensures even cached credentials cannot be used. Graph API: POST /users/{userId}/authentication/methods with new password.

Step 4: Disable MFA Methods

Remove all MFA authentication methods including Authenticator app, phone numbers, and FIDO2 keys. This prevents any recovery-based access attempts.

Step 5: Remove from Conditional Access Exclusions

Check if the user was in any Conditional Access policy exclusion groups and remove them. This ensures security policies apply fully during the offboarding period.

5. Phase 2: Email and Data Preservation

Step 1: Set Out-of-Office Auto-Reply

Configure an automatic reply on the user's mailbox: 'Thank you for your email. [Employee Name] is no longer with [Company]. Please contact [Manager Name] at [Manager Email] for assistance.' Set for both internal and external senders. Keep active for 90 days.

Step 2: Configure Mail Forwarding

Set up email forwarding from the departing user's mailbox to their manager. In Exchange Admin Center > Mailboxes > Mail flow settings > Email forwarding. Enable 'Forward all emails sent to this mailbox' and specify manager's address. Also enable 'Deliver message to both forwarding address and mailbox' to preserve copies.

Step 3: Transfer OneDrive Ownership

In SharePoint Admin Center > More features > User profiles > Manage user profiles. Search for the departing user and select 'Manage site collection owners'. Add the user's manager as the site collection owner. Manager will receive email with access link. Alternatively, set the manager as the OneDrive successor via Graph API.

Step 4: Convert Mailbox to Shared

After forwarding is configured and data is preserved: In Exchange Admin Center, convert the user's mailbox from regular to shared. This allows the mailbox to persist without a license. Grant the manager Full Access and Send As permissions on the shared mailbox.

Step 5: Remove Licenses

Once the mailbox is converted to shared, remove all Microsoft 365 licenses from the account. This frees up the license for reuse. Verify the shared mailbox still functions after license removal.

6. Phase 3: Group and Access Cleanup

Step 1: Remove from All Security Groups

In Azure AD > Groups, find all security groups the user is a member of. Remove the user from each group. This revokes access to SharePoint sites, Teams channels, and applications that use group-based access.

Step 2: Remove from Distribution Lists

In Exchange Admin Center > Groups, remove the user from all distribution lists and mail-enabled security groups. This prevents the departed employee from appearing in address book entries.

Step 3: Remove from Microsoft Teams

Remove the user from all Teams and team channels. Transfer ownership of any Teams they own to an appropriate team member before removal.

Step 4: Revoke Third-Party App Consents

In Azure AD > Enterprise Applications > User consent, review and revoke any OAuth consents the user granted to third-party applications.

7. Phase 4: Endpoint Cleanup

These steps require the OPSIS agent to be running on the employee's assigned workstation.

Step 1: Remove Cached Credentials

On the employee's workstation, clear the Windows Credential Manager of all stored credentials. Run: `cmdkey /list` to enumerate, then `cmdkey /delete` for each stored credential. Also clear browser saved passwords if company policy allows.

Step 2: Remove User Profile (if reassigning device)

If the device will be reassigned, remove the departed user's Windows profile. Ensure all data has been backed up to OneDrive or a file share first. Run: `Get-CimInstance Win32_UserProfile | Where-Object LocalPath -match 'username' | Remove-CimInstance`

Step 3: Remove from Intune/Endpoint Manager

In Microsoft Endpoint Manager > Devices, find all devices registered to the departing user. Initiate a selective wipe (company data only) or full wipe depending on device ownership policy. Remove the device from the user's registered devices in Azure AD.

Step 4: Collect Physical Assets

Create a ticket for IT asset collection: laptop, monitors, docking station, headset, access badges, hardware tokens (YubiKey), and any other company equipment. This step requires physical coordination and cannot be automated.

8. Phase 5: Verification

Step 1: Verify Sign-In is Blocked

Check Azure AD sign-in logs for the user. Confirm no successful authentications after the block time. Wait 15 minutes after blocking and verify no new sessions appear.

Step 2: Verify Mail Forwarding

Send a test email to the departed user's address. Confirm it arrives at the manager's mailbox. Verify the auto-reply is functioning for both internal and external senders.

Step 3: Verify License Removal

Confirm all licenses have been removed from the user account. Verify the shared mailbox is accessible and functional without a license.

Step 4: Verify Group Removal

Check the user's group memberships in Azure AD. Confirm the list is empty. Attempt to access a SharePoint site that was previously accessible - should return access denied.

Step 5: Send Completion Notification

Email the HR contact and the user's manager confirming that IT offboarding is complete. Include summary of actions taken, date/time of access revocation, and any pending items (e.g., physical asset collection, shared mailbox retention period).